

Suppose that instead of asking you for a loan, your brother invites you to invest in his latest business idea – creating energy from city waste. You bought 100 shares of his company by paying ₹10 per share. The business takes off and the company announces that it will pay all shareholders an annual dividend of 60 paisa per share, i.e., 6% returns on your investment.

Suppose that ten years later Suzlon Energy wants to buy your brother's company and are ready to pay ₹100 per share. So, your realized capital gains are around 900% in 10 years. Hence, you earned both the cash flow through dividends as well as the capital gains on your smart investment. We will study these concepts in the upcoming sections.

What is a share of stock?

When a company wants to grow faster than its current earnings and profits would allow it to grow, it looks for additional sources of capital for expansion. This capital can be in the form of a "debt" capital or an "equity" capital.

For a debt capital, the company would normally approach a bank or any other finance company to obtain a loan. Once it acquires a loan, it can invest the money in its business, earn more money and return the loan amount with interest. The bank or the financial institution, in such a case, is not interested in being a part of the company and is only interested in getting its principle back with a fixed interest.

For an equity capital, the company would have to approach the public to invest money in the company and in return take an "equity" stake in the company. The company can approach the public through multiple means as explained below.

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There is a limit to how much a company can borrow in the form of a bank loan. Too much debt can saddle a company as it has to pay back large interest payments through its current earnings till the new earnings start bearing results. Often, this is not feasible because of the large gestation